

HAMMERJACK*Type of case: Profitability*

Hammerjack is a regional chain of "local hardware stores" located in numerous neighborhood strip malls and shopping centers. They had enjoyed excellent performance for the past 15 years but have experienced declining profits in the past two years. They are concerned about their profitability and have hired you to explain their situation and provide recommendations to get them back on track.

ADDITIONAL INFORMATION

Competitive issues:

Costs:

CGS – no change

Lease of space - no change

SG&A, Overhead - no change

Franchise costs - no change

All other drivers - no change

Revenues:

Overall sales - down

Number of customers - down slightly

Dollar amount of purchase -down heavily

Assumption:

We are losing customers and based on the heavy decrease in dollar amount purchased, we are losing high spending customers. (There must be substantially different customer segments)

Question:

What do we know about our customer segments? A: 3 segments (as follows):

	<u>Maintenance People</u>	<u>Do It Yourself-ers</u>	<u>Contractors</u>
# of visits	1	10	100
\$ spent/visit	\$100	\$1,000	\$10,000
# of people/segment	100 million	10 million	10,000

Assumption:

Hammerjack is losing customers and dollar revenue, there is a strong possibility of increased competition. A: Yes, Home Depot and other huge "warehouse" hardware stores have entered Hammerjack regional locations.

Assumptions about "Warehouse Stores":

Lower prices due to buying power (economies of scale). A: Yes

Provide additional services such as training courses, information, tips. A: Yes

Stealing contractors due to substantially lower costs and DIY's due to price and help. A: Yes

SOLUTION STRUCTURE

Analyze drivers of profitability: Profit = Revenue - Costs.

Based on the above information, you can determine which segments are most valuable to Hammerjack.

	<u>Maintenance People</u>	<u>Do It Yourself-ers</u>	<u>Contractors</u>
Total segment worth:	\$10 Billion	\$100 Billion	\$10 Billion

You determine that the "Do It Yourself-ers" are the most important category.

Issues:

Maintenance segment is still loyal because they only shop once a year and for a lower dollar amount. We probably can't keep the contractor segment due to price. How do we keep the DIY's?

Potential Solutions:

Offer the training courses with an emphasis on the local knowledge of the neighborhood.

Anticipate the products needed by DIY's and offer competitive prices on those items.

Acquire or align with other local chains to gain buying power.